SENATE . . . . No. 3167

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

by inserting after section _ the following section:-

"SECTION_. Paragraph (2) of subsection (c) of section 21 of Chapter 25 of the General Laws, as appearing in the 2024 Official Edition, is hereby amended by adding the following sentence:- The department shall not approve a plan if the plan's total costs are greater than the total costs incurred for the 2022 to 2024 plan approved pursuant to this section, plus 6.25 per cent."

And moves to further amend the bill by inserting at the end the following section:--

"SECTION _. Subsection (f) of section 11F of chapter 25A, as appearing in the 2024 Official Edition, is hereby amended by adding the following sentences:-

Not less than fifty per cent of alternative compliance payments made pursuant to this section shall be credited directly to electric ratepayers. The department of energy resources, in consultation with the department of public utilities, shall establish by regulation a mechanism to ensure that: (1) all such payments are returned to ratepayers in the service territory of the retail electricity supplier or municipal aggregator that submitted the payment, on a per kilowatt-hour basis or other equitable crediting method; and (2) the credits shall appear as bill reductions or refunds to ratepayers within 90 days of the close of the compliance year in which the payment was made. Any administrative costs associated with implementing this subsection shall be minimized and may be deducted from such payments prior to their return to ratepayers, provided that such deductions do not exceed reasonable expenses as approved by the department of public utilities."

And moves to further amend the bill by inserting at the end the following new section:-- ”SECTION_. (a) There is hereby established an electric rates task force to advise and make recommendations to the joint committee on telecommunications, utilities and energy and the executive office of energy and environmental affairs on the current and future cost of electricity in the commonwealth.

(b) The task force shall consist of the following members: the executive director of the office of energy transformation, who shall serve as chair, the secretary of energy and environmental affairs or a designee; the commissioner of energy resources or a designee; 1 representative from the department of public utilities; 2 members appointed by the speaker of the house of representatives who shall have a background in and understanding of electric rates; 1 member appointed by the minority leader of the house of representative; 2 members appointed by the president of the senate who shall have a background in and understanding of electricity rates; 1 member appointed by the minority leader of the senate; the chairs of the joint committee on telecommunications, utilities and energy; the attorney general, or a designee; 1 representative from each investor-owned electric utility with a combined service territory of more than 100,000 retail and commercial customers; and 1 representative from ISO New England, Inc.

(c) The executive director of the office of energy transformation may assign staff and resources, as necessary, for the work of the task force.

(d)(1) Not later than September 30, 2027, the task force shall produce a report which shall: (i) identify each cost component that comprises the electric bill of residential and commercial customers of each investor-owned electric distribution company in the commonwealth with a combined service territory of more than 100,000 retail and commercial customers; (ii) include the total revenue raised statewide from each cost component separated by utility and customer class; (iii) include the current total cost to each customer class on a kilowatt-hour basis and monthly basis for a typical user in each rate class; and (iv) include the annual rate increase for each cost component for the previous 10 years and the projected annual rate increases or range of rate increases expected over the next 5 years. The report shall compare individual rate components to current and projected rate components of all other New England states and at least 3 other states considered to be economic competitors of the commonwealth.

(2) The cost components identified pursuant to clause (i) of paragraph (1) shall include the date of origin and purpose of each cost component and whether said cost components are related to electric utility distribution costs, regional transmission costs or energy supply costs and whether the cost components were added as a result of compliance with meeting greenhouse gas reduction goals established pursuant to section 3 of chapter 21N of the General Laws; provided, that the report shall include and identify any cost components that are expected to be added to ratepayer bills over the next 10 years. The cost components identified pursuant to clause (i) of paragraph (1) may be combined if they serve a similar purpose; provided, that the cost components shall not be currently listed separately on a customer bill or necessary to meet greenhouse gas reduction goals pursuant to said section 3 of said chapter 21N.

(e)(1) The report pursuant to subsection (d) shall be made publicly available on the websites of the attorney general and the executive office of energy and environmental affairs for public comment for 30 days.

(2) The task force shall consider all public comments and may make any changes to the report based on public comment, if applicable, as determined by the task force.

(f) Not later than 30 days after the closing of the public comment period pursuant to subsection (e) for the report pursuant to subsection (d), the task force shall submit a final report to the governor, the speaker of the house, the president of the senate, the house and senate committees on ways and means, the chairs of the joint committee on telecommunications, utilities and energy and the clerks of the house and senate.

(g) The report pursuant to subsection (d) and the final report pursuant to subsection (f) shall be made publicly available on the websites of the attorney general and the executive office of energy and environmental affairs."

Moves to further amend by inserting after section _ the following new section:-

SECTION _. Chapter 25 of the General Laws, as appearing in the 2022 Official Edition, is hereby amended by adding the following section:-

Section 24. Public Hearing and Comment Period for Department of Public Utilities Rate Changes

(a) The Department of Public Utilities shall be required to hold at least one public hearing and a 30-day public comment period before approving any rate increase, including changes to delivery fees or other charges.

(b) The department shall provide notice of such hearings in a manner that ensures accessibility, including publication on the department’s website, written notifications to affected municipalities, and public service announcements."

And moves to further amend the bill as written by striking in lines 626-627 the following words "at a reasonable cost to ratepayers" and inserting in place thereof the following:- "with no or minimal cost to ratepayers"; and

By inserting at the end of line 640 the following:- "Any program so developed shall be filed in a report with the Clerks of the House and Senate, and the Joint Committee on Telecommunications Utilities and Energy, not later than 120 days before its implementation."

And moves to further amend the bill as written by inserting at the end of line 119 the following:- "; provided further that no ratepayer funds shall be contributed to the fund".

And moves to further amend the bill as written by inserting after clause (16) the following paragraph:- “Prior to initiating any solicitation or entering into any contract pursuant to section 22, the department shall certify, in consultation with the department of public utilities and the attorney general, that the intended procurement cannot be reasonably achieved through existing competitive market mechanisms or private sector procurement. Such certification shall include a written determination that private entities are unable or unwilling to procure the resource at a scale, price, or timeline necessary to meet the commonwealth’s statutory energy or emissions requirements. The department shall further certify that no contract executed pursuant section 22 shall require the commonwealth or any ratepayer funded entity to pay a price for clean energy generation or energy services that exceeds the lowest price paid for a substantially similar product or service by a private entity in the New England wholesale or retail energy markets during the preceding 24 months. All certifications issued under this paragraph shall be filed with the clerks of the house and senate and the joint committee on telecommunications, utilities and energy not less than 30 days prior to the issuance of any solicitation.”

And moves to further amend the bill as written by striking in line 455 the word "and" and by inserting, in line 460, after the word "level" the following:- "; and (vi) a division of ratepayer relief and affordability, which shall monitor, analyze and report on the impacts of energy policies, programs and procurement activities on residential, commercial and industrial ratepayers; evaluate the affordability of electric and gas service across income groups and regions; identify opportunities to reduce or avoid ratepayer costs; review proposed actions of the department and the department of public utilities for their effects on customer bills; and recommend strategies to minimize energy burdens and prevent the imposition of new charges or surcharges on ratepayers. The division shall serve as the principal point of contact within the department for matters relating to ratepayer affordability and shall coordinate with other divisions, state agencies and stakeholders to ensure that ratepayer impacts are fully considered in all departmental actions."

And moves to further amend the bill as written by inserting after section 86 the following 3 sections:-

SECTION __. There shall be a special commission to study and provide recommendations on reducing the costs and ratepayer impacts of building decarbonization, energy efficiency, load management and demand reduction programs established pursuant to sections 19, 21 and 22 of chapter 25 of the General Laws.

The commission shall examine the administration, financing, contracting, performance and cost-effectiveness of said programs and identify reforms that would reduce program costs and charges assessed to ratepayers. The study shall include, but not be limited to: (1) reviewing administrative, marketing and overhead expenses; (2) evaluating payments to program administrators, vendors, contractors and consultants; (3) examining performance incentives and the methods used to calculate such incentives; (4) identifying duplicative, inefficient or underperforming programs; (5) comparing claimed energy savings with independently verified savings; (6) examining the geographic distribution of program costs and benefits; (7) comparing the cost and performance of the programs with similar programs in other states; (8) estimating the savings that could result from consolidating, reducing or eliminating programs or expenses; and (9) recommending legislative, regulatory or administrative reforms to reduce charges assessed to ratepayers and return any resulting savings to ratepayers.

SECTION __. The commission shall consist of the commissioner of energy resources or a designee, who shall serve as chair; the chair of the department of public utilities or a designee; the state auditor or a designee; the attorney general or a designee; the inspector general or a designee; the senate and house chairs of the joint committee on telecommunications, utilities and energy or their designees; the house minority leader or a designee; the senate minority leader or a designee; 1 person representing residential ratepayers, appointed by the attorney general; 1 person representing small businesses, appointed by the inspector general; 1 member with expertise in financial auditing or program evaluation, appointed by the state auditor; and 1 member with expertise in utility regulation or energy economics, appointed by the senate minority leader.

The commission shall hold not fewer than 3 public hearings in geographically diverse regions of the commonwealth to gather input from ratepayers, municipalities, businesses, program participants and other interested parties.

SECTION __. The commission shall submit its findings, estimated savings and recommendations, including any proposed legislation or regulations, to the governor, the clerks of the house of representatives and the senate, the joint committee on telecommunications, utilities and energy and the house and senate committees on ways and means not later than 12 months after the effective date of this act. The report shall be made publicly available."

And moves to further amend the bill as written by inserting after section _ the following 8 sections:-

"SECTION __. Chapter 25 of the General Laws is hereby amended by adding the following section:-

Section __. (a) The department shall hold not fewer than 1 public hearing and provide a public comment period of not fewer than 30 days before approving an increase in an electric or gas rate, delivery charge, surcharge, assessment or other charge assessed to ratepayers.

(b) The department shall provide notice of a hearing and public comment period required pursuant to subsection (a) by publication on its website, written notice to each affected municipality and such other means as the department considers necessary to provide reasonable notice to affected ratepayers.

SECTION __. Chapter 164 of the General Laws is hereby amended by adding the following section:-

Section __. (a) Notwithstanding any general or special law to the contrary, an investor-owned electric company, gas company or distribution company shall not increase rates, delivery charges, surcharges, assessments or other charges assessed to ratepayers by more than 3 per cent in a calendar year; provided, however, that the maximum annual increase shall be adjusted by the percentage increase, if any, in the consumer price index for all urban consumers in the Northeast region, as published by the United States Bureau of Labor Statistics.

(b) The department shall promulgate regulations to implement this section, including regulations governing transparency, notice to customers and the calculation of the maximum annual increase.

SECTION __. Said chapter 164 is hereby further amended by adding the following section:-

Section __. (a) The department shall establish a veteran utility rate reduction program for veterans, as defined in section 1 of chapter 115, including veterans receiving disability compensation from the United States Department of Veterans Affairs.

(b) An eligible veteran shall receive a discount on electric and gas distribution charges consistent with the discount rate applicable to similarly situated low-income or moderate-income customers. Eligibility shall be determined using the income thresholds applicable to existing discount-rate programs.

(c) The department shall promulgate regulations to implement this section, including regulations governing verification of eligibility through records of the United States Department of Veterans Affairs or other appropriate documentation. The department shall conduct outreach to eligible veterans regarding the availability of the program.

SECTION __. Said chapter 164 is hereby further amended by adding the following section:-

Section __. The department shall establish a utility rate reduction program for residents of the commonwealth who are 65 years of age or older. The department shall promulgate regulations establishing eligibility criteria, discount rates, application procedures and verification requirements for the program.

SECTION __. Sections 4, 5, 10, 11, 16, 17, 23, 39, 40, 41, 48, 49, 60 to 77, inclusive, 81, 86, 93, 98, 103, 106, 107, 112 and 134 of chapter 239 of the acts of 2024 are hereby repealed.

SECTION __. There shall be a special commission to study and provide recommendations on utility delivery-charge structures, industry practices and cost-reduction measures for ratepayers. The commission shall examine: (1) the impact of delivery charges on residential, commercial and industrial ratepayers; (2) the principal costs recovered through delivery charges; (3) historical changes in delivery charges and the relationship between delivery charges and utility capital expenditures; (4) delivery-charge structures and regulatory practices in other states; (5) opportunities to improve the transparency and efficiency of charges; (6) regulatory or market-based reforms that could reduce charges while maintaining safe and reliable service; and (7) the estimated savings to ratepayers resulting from each recommended reform.

SECTION __. The commission shall consist of the house and senate chairs of the joint committee on telecommunications, utilities and energy, who shall serve as co-chairs; the speaker of the house of representatives or a designee; the president of the senate or a designee; the house minority leader or a designee; the senate minority leader or a designee; the chair of the department of public utilities or a designee; the attorney general or a designee; 1 representative of the Massachusetts Municipal Association; 1 representative of competitive energy suppliers; and 2 members with expertise in utility regulation, energy pricing or economic analysis, appointed by the governor.

The commission shall hold not fewer than 4 public hearings in geographically diverse regions of the commonwealth to solicit input from ratepayers, consumer advocates, municipalities, businesses, utility companies and regulatory agencies.

SECTION __. The commission shall submit its findings, estimated savings and recommendations, including any proposed legislation or regulations, to the clerks of the house of representatives and the senate, the house and senate committees on ways and means and the joint committee on telecommunications, utilities and energy not later than 12 months after the effective date of this act. The report shall be made publicly available."

And moves to further amend the bill as written by inserting after section 86 the following section:-

"SECTION __. The inspector general shall procure an independent forensic audit of all energy efficiency, demand reduction, load management and building decarbonization programs funded or administered pursuant to sections 19 and 21 of chapter 25 of the General Laws, including any predecessor programs administered pursuant to said sections.

The audit shall examine fiscal years 2021 through 2026, inclusive, and shall include, but not be limited to: (1) all contracts, subcontracts and payments to program administrators, vendors, contractors and consultants; (2) administrative, marketing and overhead expenses; (3) executive compensation and performance incentives funded directly or indirectly by ratepayers; (4) the accuracy of reported energy savings, benefit-cost calculations and greenhouse gas emissions reductions; (5) payments made for services not delivered, duplicative services or services lacking adequate documentation; (6) conflicts of interest, related-party transactions and procurement deficiencies; (7) the geographic distribution of program costs and benefits; and (8) opportunities to recover improperly expended funds and reduce future charges assessed to ratepayers.

The department of public utilities, the department of energy resources, the energy efficiency advisory council, each program administrator and each electric or gas company shall provide to the inspector general and the independent auditor all records, contracts, invoices, payment information and other data reasonably necessary to conduct the audit, notwithstanding any general or special law to the contrary.

The inspector general may expend not more than $1,000,000 to conduct the audit. The department of public utilities shall require the program administrators to transfer the amount necessary to conduct the audit from existing administrative funds collected pursuant to section 19 of said chapter 25. No new surcharge, assessment or charge shall be imposed on ratepayers to fund the audit.

The inspector general shall submit the audit and any recommendations to the clerks of the house of representatives and the senate, the house and senate committees on ways and means and the joint committee on telecommunications, utilities and energy not later than December 31, 2027. The audit shall be made publicly available."

And moves to further amend the bill as written by adding the following section:-

"SECTION __. (a) There shall be a special commission to review charges imposed on customers for the transmission, distribution and delivery of gas and electricity and to recommend reforms to reduce those charges.

(b) The commission shall consist of the senate and house chairs of the joint committee on telecommunications, utilities and energy, who shall serve as co-chairs; the ranking minority members of the joint committee on telecommunications, utilities and energy; the secretary of energy and environmental affairs or a designee; the chair of the department of public utilities or a designee; the attorney general or a designee; the state auditor or a designee; 1 member appointed by the president of the senate; 1 member appointed by the speaker of the house of representatives; 1 member appointed by the minority leader of the senate to represent residential ratepayers; and 1 member appointed by the minority leader of the house of representatives to represent small commercial customers.

(c) The commission shall review: (1) each statutory, regulatory and tariff-based charge imposed for the transmission, distribution or delivery of gas or electricity; (2) the legal authority for each charge and the program, obligation or expenditure supported by the charge; (3) the annual revenue collected through each charge; (4) the administrative costs, utility earnings and authorized rates of return included in each charge; (5) whether each charge may be repealed, reduced, consolidated or funded through an appropriation; (6) the extent to which each charge shifts costs among residential, small commercial, large commercial and industrial customers; (7) reforms to reduce customer charges, distribution charges and other delivery-related charges; (8) whether a gas company or distribution company should earn a rate of return on expenditures required by statute, regulation or order of the department of public utilities; and (9) statutory and regulatory changes that may be implemented immediately to reduce customer bills.

(d) The department of public utilities, each gas company and each distribution company shall provide the commission with information and records reasonably necessary to complete its work.

(e) The commission shall submit a report of its findings and recommendations, together with draft legislation necessary to implement its recommendations, to the clerks of the senate and house of representatives, the joint committee on telecommunications, utilities and energy and the senate and house committees on ways and means not later than December 31, 2027."

And moves to further amend the bill as written by inserting after section__ the following sections:-

"SECTION _. Notwithstanding any general or special law to the contrary, no gas or electric distribution company, municipal aggregator, municipal light plant, or state agency shall impose, collect, or seek approval for any new charge, surcharge, fee, rider, or reconciling charge on residential, commercial, or industrial ratepayers for a period of three years from the effective date of this act, nor shall any law, rule, or regulation require such charges. During this moratorium period, no new line item charge shall be added to customer bills, and no existing charge shall be expanded to recover new categories of costs.

SECTION _. Following the expiration of the three year moratorium established in Section XX, any proposal to impose a new charge, surcharge, fee, rider, or reconciling charge on ratepayers shall require: (i) a public hearing conducted by the department of public utilities; (ii) public notice of such hearing not less than 30 days in advance; and (iii) a written determination by the department that the proposed charge is necessary, minimizes costs to ratepayers, and does not impose an unreasonable energy burden on residential, commercial, or industrial customers."

And moves to further amend the bill as written by striking out subsection (d) of section 14 lines 114-119.

And moves to further amend the bill as written by adding, in line 3061, after the words "finances," the following:- "reduce cost burdens to ratepayers,".